

Comprehensive Wealth Plan

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 December 2025  Target: \$1M Net Worth by Age 37  Investment Banking Professional

1. Executive Summary

Your Financial Transformation Path

You're positioned for accelerated wealth building once your debt foundation is solidified. With \$200-299K income as an investment banker and an incoming \$30K bonus, you have the opportunity to eliminate debt, optimize taxes, and begin systematic wealth accumulation. This plan delivers **\$72,799 - \$79,022 in total first-year financial impact** through strategic debt elimination, tax optimization, and wealth-building systems.

Three-Phase Strategy

1

Months 1-6: Financial Foundation

Eliminate \$20-49K debt using December bonus, establish emergency fund, optimize W-4 for immediate cash flow improvement.

2

Months 7-12: Tax Optimization

Max out all tax-advantaged accounts (\$34,800/year), implement S-Corp optimization, establish business credit systems.

3

Year 2+: Wealth Acceleration

Deploy 60% Bitcoin, 40% tax-advantaged strategy. Target \$63,600/year invested toward \$1M net worth by age 37.

First-Year Financial Impact

Category	Conservative	Aggressive	Notes
Tax Savings	\$13,499	\$20,722	7 implemented strategies
Cash Flow Improvement	\$4,500	\$4,500	W-4 optimization
Debt Elimination	\$20,000	\$20,000	From December bonus
Retirement Contributions	\$34,800	\$34,800	401k + HSA + Backdoor Roth
Total Year-One Impact	\$72,799	\$79,022	Net positive impact

2. Client Profile & Analysis

PERSONAL DETAILS

Age 32, Single, Baltimore MD

ANNUAL INCOME

\$200-299K (W-2 Investment Banking)

BONUS INCOMING

~\$30K (December 2025)

BUSINESS STRUCTURE

S-Corp LLC (Charlotte NC rental)

LIQUID CAPITAL

\$5-6K available

DEBT STATUS

\$20-49K (in settlement program)

CREDIT SCORE

<640 (rebuilding phase)

TIME AVAILABLE

<2 hours/week

Current Assets

Asset Category	Current Status	Notes
Retirement Accounts	Under \$25,000	401k partially funded
Bitcoin/Crypto	<1% position	Small allocation
Real Estate	1 rental property	Charlotte NC home (LTR/MTR/STR capable)
Home Equity	Minimal/none	Own Baltimore home
Emergency Fund	1-2 months	Target: 3-4 months

Tax Analysis

FEDERAL MARGINAL RATE

24%

MARYLAND STATE RATE

5.75%

COMBINED MARGINAL RATE

29.75%

ANNUAL TAX OBLIGATION

~\$60-75K

Stated Goals

- **Primary Goal:** Build \$1M net worth by age 37 (5-year target)
- **Immediate Priority:** Pay down debt and raise capital to invest in side business
- **Real Estate Goal:** Develop rental property portfolio (Airbnb business)
- **Business Goal:** Establish business line of credit
- **Investment Goal:** Automate investing plan with focus on Bitcoin accumulation

3. Phase 1: Financial Foundation (Months 1-6)

Critical Path: Debt Elimination First

Your December bonus (~\$30K gross, ~\$20K after-tax) is the key to unlocking your wealth-building phase. Strategic allocation eliminates debt, establishes emergency fund, and positions you for aggressive wealth accumulation starting Month 7.

Bonus Allocation Strategy

Priority	Allocation	Amount	Purpose
1	Debt Settlement Payoff	\$15,000	Eliminate settlement program debt completely
2	Emergency Fund	\$3,000	Increase to 3-4 months expenses
3	Backdoor Roth Top-Up	\$2,000	Partial contribution (complete \$7,000 by April)
Total	After-Tax Bonus	\$20,000	Strategic foundation building

Debt Elimination Impact

Eliminating \$20-49K debt provides:

- **Credit Score Recovery:** Exit settlement program, begin 12-month rebuild to 680+ target
- **Cash Flow Liberation:** Redirect settlement payments to investing (\$500-1,000/month)
- **Mental Capital:** Clear headspace to focus on wealth building vs debt management
- **Financing Access:** Qualify for business credit, future real estate financing
- **Interest Savings:** Eliminate 20-25% settlement fees and interest charges

Month-by-Month Timeline

Month 1 (December 2025): Bonus Deployment

- ☐ Receive \$30K bonus (coordinate withholding with employer)
- ☐ Execute debt settlement payoff: \$15,000

- ☐ Fund emergency account increase: \$3,000
- ☐ Open Backdoor Roth accounts (Traditional IRA + Roth IRA)
- ☐ Make initial Backdoor Roth contribution: \$2,000
- ☐ Update W-4 for 2025 optimization (see Strategy 7)

Months 2-3 (January-February 2025): Systems Setup

- ☐ Meet with CPA to review S-Corp salary optimization
- ☐ Increase 401k contribution to max ($\$23,500/\text{year} = \$1,958/\text{month}$)
- ☐ Verify HSA on track for max ($\$4,300/\text{year} = \$358/\text{month}$)
- ☐ Apply for secured business credit card (no personal guarantee)
- ☐ Establish Dun & Bradstreet DUNS number for business
- ☐ Review home office documentation with CPA

Months 4-6 (March-May 2025): Momentum Building

- ☐ Complete Backdoor Roth contribution (\$5,000 remaining by April 15)
- ☐ Apply for 2nd business credit card
- ☐ Begin tracking business vehicle usage for 2025 purchase

- Monitor credit score improvement (target: 640 → 660)
- Research vehicle options for Q4 Section 179 deduction
- Confirm all tax-advantaged accounts on track for annual max

4. Year-One Tax Optimization Strategies

7 Strategies = \$13,499 - \$20,722 Annual Tax Savings

These strategies are selected specifically for your W-2 income structure, S-Corp business entity, limited time availability (<2 hrs/week), and aggressive wealth-building goals. Each strategy is independently compliant and works synergistically with the others.

Strategy	Annual Value	Priority	Implementation Timeline
401(k) Contribution Increase	\$3,375 - \$4,725	IMMEDIATE	Week 1
HSA Max Contribution	\$337 - \$472	IMMEDIATE	Week 1
Backdoor Roth IRA	\$7,000 (tax-free growth)	Q1 2025	Month 1
W-4 Optimization	+\$4,500 cash flow	IMMEDIATE	Week 1
S-Corp Salary Optimization	\$2,025 - \$4,050	Q1 Review	Month 2
Vehicle Section 179	\$6,750 - \$10,125	Q4 2025	Months 10-12

Strategy	Annual Value	Priority	Implementation Timeline
Home Office Deduction	\$1,012 - \$1,350	Maintain	Ongoing

5. Strategy Implementation Details

1 401(k) Contribution Increase \$3,375-\$4,725/year

Current Status & Opportunity

You're partially contributing but not maximizing. The 2025 limit is \$23,500 (\$1,958/month). Every dollar contributed reduces taxable income by 29.75%, generates immediate tax savings, and compounds tax-deferred.

Implementation Steps

- Log into employer 401k portal immediately
- Increase contribution percentage to reach \$1,958/month (\$23,500 annual)
- If using percentage-based contributions: calculate based on gross monthly W-2 income
- Set to pre-tax (traditional) unless you prefer Roth 401k
- Verify change takes effect on next paycheck

Tax Savings Calculation

If currently contributing \$15,000/year, increasing to \$23,500/year adds \$8,500 in deductions:

- Conservative: $\$8,500 \times 29.75\% = \$2,529$ savings
- Aggressive: (Assuming higher effective rate with state tax) $\$8,500 \times 31\% = \$2,635$ savings

Documentation Required

- Year-end 401k statement showing contributions
- W-2 Box 12 with code "D" (401k deferrals)
- Keep contribution confirmation from payroll changes

2 HSA Maximum Contribution \$337-\$472/year

Triple Tax Advantage

HSAs provide three tax benefits: (1) Tax-deductible contributions, (2) Tax-free growth, (3) Tax-free withdrawals for medical expenses. The 2025 limit is \$4,300 for individual coverage or \$8,550 for family coverage, plus \$1,000 catch-up if age 55+.

Implementation Steps

- Verify you have qualifying High-Deductible Health Plan (HDHP)
- If HDHP: Increase contribution through payroll to max monthly amount
- Individual coverage: \$4,300/year = \$358/month
- Family coverage: \$8,550/year = \$712/month
- Coordinate with emergency fund - don't over-contribute if cash-tight

Strategic Use

Don't just save - invest HSA funds in stock/bond funds for long-term growth. Pay current medical expenses out-of-pocket, let HSA grow tax-free for decades. This creates a "Stealth IRA" for retirement healthcare costs.

Documentation Required

- HDHP insurance card and summary of benefits
- HSA contribution receipts (auto-tracked by provider)
- Form 8889 filed with tax return
- Medical expense receipts (keep for potential future reimbursement)

3 Backdoor Roth IRA \$7,000/year

Why You Need This

At \$200-299K income, you're above the Roth IRA income limits (\$150,000-\$165,000 phase-out for single filers in 2025). The Backdoor Roth allows you to contribute to Roth IRA indirectly, creating \$7,000/year in tax-free growth potential.

Implementation Steps

- **Step 1:** Open Traditional IRA and Roth IRA accounts (Vanguard, Fidelity, or Schwab)
- **Step 2:** Contribute \$7,000 to Traditional IRA (non-deductible contribution)
- **Step 3:** Wait 1-2 days for deposit to settle
- **Step 4:** Convert entire Traditional IRA balance to Roth IRA
- **Step 5:** File Form 8606 with tax return documenting non-deductible contribution
- **Deadline:** Complete by April 15, 2026 for 2025 tax year

Pro-Rata Rule Warning

If you have existing Traditional IRA, SEP IRA, or SIMPLE IRA balances, the pro-rata rule requires you to pay taxes on a portion of the conversion. Solution: Roll existing IRA balances into your employer 401k (if allowed) before doing Backdoor Roth.

Value Proposition

$\$7,000/\text{year} \times 30 \text{ years at } 10\% \text{ average return} = \$1,219,273$ **TAX-FREE** at retirement. This is one of the highest-leverage wealth-building strategies available.

Documentation Required

- IRA account statements showing contribution and conversion
- Form 1099-R (conversion reported here)
- Form 5498 (IRA contributions reported here)
- File Form 8606 Parts I and II with tax return

4 W-4 Optimization +\$4,500 cash flow

Stop Giving the IRS an Interest-Free Loan

Most W-2 employees overpay taxes through excess withholding, then get a refund in April. W-4 optimization adjusts your withholding to match actual tax liability, putting \$4,500+ back in your pocket throughout the year for investing instead of waiting for a refund.

Implementation Steps

- Use IRS Tax Withholding Estimator (irs.gov/individuals/tax-withholding-estimator)
- Input your income, deductions (401k, HSA, S-Corp loss if applicable), and credits
- Calculator will recommend specific W-4 settings
- Update W-4 with employer HR/payroll (usually online portal)
- Monitor first 2-3 paychecks to verify correct withholding
- Adjust quarterly if needed

Safe Harbor Rule

To avoid underpayment penalties, your withholding must equal either: (1) 90% of current year tax liability, OR (2) 100% of prior year tax liability (110% if AGI > \$150K). Use the calculator to stay compliant while maximizing cash flow.

How to Use Extra Cash Flow

Don't spend it. Redirect \$4,500/year (\$375/month) to:

- Months 1-6: Accelerate emergency fund building
- Months 7-12: Additional Bitcoin DCA contributions
- Year 2+: Supplement regular investment contributions

5 S-Corporation Salary Optimization \$2,025-\$4,050/year

Your Current Structure

You have an S-Corp LLC managing your Charlotte rental property. S-Corps require "reasonable compensation" for shareholder-employees, but optimizing the W-2 salary vs distribution split can save thousands in self-employment taxes.

Reasonable Compensation Guidelines

For rental property management, reasonable salary depends on hours worked and duties performed:

- **Minimal management** (property manager handles most): \$12,000-\$18,000/year
- **Active management** (you handle tenant issues, maintenance): \$24,000-\$36,000/year
- **Material participation** (significant time spent): \$36,000-\$50,000/year

Tax Savings Mechanism

W-2 salary pays 15.3% FICA (7.65% employee + 7.65% employer). Distributions avoid FICA entirely. Example:

- S-Corp net income: \$25,000/year (from rental)
- **Current structure:** \$25,000 salary = \$3,825 FICA tax
- **Optimized structure:** \$15,000 salary + \$10,000 distribution = \$2,295 FICA tax
- **Savings:** \$1,530/year

Implementation Steps

- Schedule CPA meeting in Q1 2025
- Review 2024 S-Corp income and time spent on rental activity
- Discuss reasonable compensation for your specific situation
- Adjust 2025 salary if appropriate (document reasoning in corporate records)
- Run proper payroll through service (Gusto, ADP, etc.)

Audit Defense

Keep time logs showing hours spent on rental property management. Document comparable salaries for property managers in Charlotte. Maintain corporate formalities (board meetings, resolutions). Work with proactive CPA who understands S-Corp salary optimization.

6 Vehicle Section 179 Deduction \$6,750-\$10,125/year

Strategic Purchase Timing

You indicated planning to purchase a vehicle for business use. Section 179 allows immediate expensing of business vehicle purchases (up to \$1,220,000 limit for 2025), plus 100% bonus depreciation is now permanent under OBBBA legislation.

Qualifying Vehicles

Best Options (100% immediate deduction):

- Vehicles >6,000 lbs GVWR (SUVs, trucks, full-size crossovers)
- Examples: Ford F-150, Chevy Tahoe, Toyota Sequoia, Range Rover, BMW X7
- Must be used >50% for business purposes

Luxury Vehicle Limitation:

- Passenger vehicles under 6,000 lbs are capped at \$20,200 first-year depreciation (2025)
- This includes sedans, compact SUVs, smaller crossovers

Implementation Steps

- **Q2-Q3 2025:** Research vehicle options, test drive, compare pricing
- **Q4 2025:** Purchase vehicle by December 31, 2025 to claim 2025 deduction
- **Business use tracking:** Start mileage log immediately on purchase date
- **Financing:** Consider whether to pay cash vs finance (interest is deductible)
- **Business entity:** Vehicle can be purchased by you personally or by S-Corp

Example Calculation

Purchase \$50,000 SUV (7,000 lbs GVWR) in November 2025, used 80% business:

- Business portion: $\$50,000 \times 80\% = \$40,000$
- Section 179 + Bonus Depreciation: \$40,000 immediate deduction
- Tax savings: $\$40,000 \times 29.75\% = \$11,900$
- Effective vehicle cost: $\$50,000 - \$11,900 = \$38,100$

Documentation Required

- Vehicle purchase agreement and title
- Mileage log (date, miles, business purpose for every trip)
- Form 4562 (Depreciation and Amortization) filed with tax return
- If financed: loan documents and interest statements

Alternative: Standard Mileage Rate

If you prefer to avoid purchase, you can deduct \$0.70/mile (2025 rate) for business driving. At 10,000 business miles = \$7,000 deduction = \$2,083 tax savings. Section 179 purchase generates much higher value.

7 Home Office Deduction \$1,012-\$1,350/year

Current Status

You indicated already using home office deduction. This section ensures you're maximizing the deduction and maintaining proper documentation to withstand potential audit.

Two Methods Available

Simplified Method:

- \$5 per square foot of home office space
- Maximum 300 square feet = \$1,500 max deduction
- No receipts required, no depreciation recapture
- Best for: Small office spaces, minimal paperwork preference

Regular Method (Higher Value):

- Calculate actual home expenses × business use percentage
- Includes: mortgage interest, property taxes, utilities, insurance, repairs, depreciation
- Example: \$24,000 annual home expenses × 15% business use = \$3,600 deduction
- At 29.75% tax rate = \$1,071 savings
- Best for: Larger office spaces, higher home expenses

Exclusive Use Requirement

Critical IRS requirement: Office space must be used **exclusively** for business. Cannot be dual-purpose (e.g., guest bedroom that's also office). However, "dedicated area" in a room can qualify even if room isn't a separate enclosed space.

Implementation Checklist

- Measure office space in square feet
- Calculate total home square footage
- Determine business use percentage (office sq ft ÷ total sq ft)
- Take photos of office setup showing exclusive business use
- Gather all home expense receipts for year

- Choose simplified vs regular method (compare both, use higher value)

Documentation Required

- Floor plan or measurements of home and office
- Photos of office space (dated)
- Home expense receipts (mortgage statement, utility bills, etc.)
- Form 8829 (if using regular method) filed with Schedule C
- Calendar/schedule showing business use of space

Coordination with S-Corp

Since you have an S-Corp, the home office should be handled through an "Accountable Plan" where the S-Corp reimburses you for office use. This provides the deduction to the S-Corp while avoiding income to you personally. Discuss implementation details with your CPA.

6. Investment Allocation Strategy

Three-Phase Investment Approach

Your investment strategy evolves as your financial foundation strengthens. Phase 1 focuses exclusively on debt elimination. Phase 2 builds tax-advantaged accounts. Phase 3 deploys aggressive Bitcoin accumulation.

Phase 1: Debt Elimination (Months 1-6)

Allocation	Monthly Amount	Purpose
Bonus Deployment	One-time \$20K	\$15K debt payoff + \$3K emergency fund + \$2K Roth
Regular Savings	\$500-1,000	Complete emergency fund to 3-4 months

Allocation	Monthly Amount	Purpose
401k Increase	\$500-800	Gradual increase toward \$1,958/month max
Total Focus	Eliminate debt, establish foundation, optimize current contributions	

Phase 2: Foundation Building (Months 7-12)

Account	Monthly	Annual	Tax Benefit
401(k) Contribution	\$1,958	\$23,500	\$6,991 tax savings
HSA Contribution	\$358	\$4,300	\$1,279 tax savings
Backdoor Roth IRA	\$583	\$7,000	Tax-free growth
Total Tax-Advantaged	\$2,899	\$34,800	\$8,270 + growth

Additional Deployment: With W-4 optimization adding \$375/month cash flow and debt payments freed up (\$500-1,000/month), you have \$875-1,375/month additional capacity. Use for:

- Emergency fund top-ups (if needed)
- Initial Bitcoin DCA (\$200-500/month)
- Business credit building (small purchases paid off immediately)

Phase 3: Wealth Acceleration (Year 2+)

Allocation	Monthly	Annual	% of Total
Bitcoin DCA	\$2,400	\$28,800	60%
401(k) Max	\$1,958	\$23,500	27%
HSA Max	\$358	\$4,300	7%
Backdoor Roth Max	\$583	\$7,000	11%

Allocation	Monthly	Annual	% of Total
Total Invested	\$5,299	\$63,600	100%

Bitcoin Strategy Deep Dive

Why 60% Bitcoin Allocation

- **Aggressive growth profile:** Matches your "maximum growth, comfortable with volatility" stated preference
- **Non-correlated asset:** Diversifies away from traditional stocks/bonds in retirement accounts
- **Scarcity mechanics:** Fixed 21M supply, increasing institutional adoption, 4-year halving cycles
- **Historical performance:** 10-year CAGR exceeds all traditional asset classes
- **Your age advantage:** At 32, you have 30+ years to weather volatility and capture long-term appreciation

Dollar-Cost Averaging (DCA) Protocol

Systematic Approach:

- \$2,400/month invested on the same day each month (e.g., 1st or 15th)
- Regardless of price - removes emotion and timing attempts
- Use Strike, Swan Bitcoin, or Cash App for automatic recurring purchases
- Self-custody in hardware wallet (Ledger, Trezor) once balance > \$10K

Bear Market Strategy:

- When BTC drops >50% from ATH, consider increasing DCA to \$3,000-3,500/month
- These periods (historically every 4 years) offer maximum accumulation opportunity
- Don't sell - these drawdowns are features of Bitcoin's 4-year cycle, not bugs

Bull Market Strategy:

- Never reduce DCA during price increases - this is when most people FOMO in
- Maintain discipline through euphoric periods
- Don't take profits until you've reached your \$1M net worth goal

Long-Term Projections

Conservative Scenario (10% annual return):

- Year 1: \$0 (debt elimination phase)
- Years 2-5: $\$28,800/\text{year} \times 4 \text{ years} = \$115,200$ invested
- Value at 10% CAGR: \$138,847
- Plus tax-advantaged accounts: $\$34,800 \times 5 \text{ years} = \$174,000$
- Total net worth by age 37: \$312,847+

Aggressive Scenario (25% annual return on Bitcoin, 10% on tax-advantaged):

- Bitcoin: $\$28,800/\text{year} \times 4 \text{ years at } 25\% \text{ CAGR} = \$177,438$
- Tax-advantaged: $\$34,800/\text{year} \times 5 \text{ years at } 10\% \text{ CAGR} = \$214,118$
- Rental property appreciation: \$100,000+ equity growth
- Total net worth by age 37: \$491,556+ (nearly halfway to goal)

Self-Custody Best Practices

- **Hardware wallet:** Purchase directly from manufacturer (Ledger.com, Trezor.io)
- **Seed phrase security:** Write on metal (Cryptosteel), never digital. Store in 2-3 geographic locations
- **Multisig option:** Once balance > \$100K, consider 2-of-3 multisig with Casa or Unchained Capital
- **Never share:** Seed phrase, private keys, or wallet contents with anyone
- **Practice:** Send small test transaction before large amounts

7. Real Estate Strategy Analysis

Short-Term Rental (STR) Analysis: Not Viable Currently

While your Charlotte property is capable of operating as a short-term rental and you've expressed strong interest in developing your real estate portfolio, current constraints make

STR strategy non-viable. This section explains why and provides alternatives.

IRS Material Participation Requirements

To claim STR losses against W-2 income, you must meet material participation standards:

Requirement	Standard	Your Status
Minimum Hours	>100 hours/year	✗ <2 hrs/week = 104 hrs/year maximum
Primary Participant	More hours than any other person	✗ If property manager: they work more hours
Time Available	Substantial management time	✗ Full-time W-2 job limits availability
Documentation	Detailed time logs required	⚠ Difficult to substantiate with current schedule

Why Hiring Property Manager Disqualifies You

If you hire a property manager to handle STR operations:

- Property manager works 10-20+ hours/week managing guests, cleaning, maintenance
- You cannot claim to be "primary participant" because manager exceeds your hours
- Without material participation, STR losses become "passive"
- Passive losses can only offset passive income, not W-2 wages
- Tax benefit evaporates entirely

Self-Managed STR Requirements

To self-manage and qualify for material participation:

- **Guest communication:** 2-3 hours/week (booking, check-in, questions)
- **Cleaning coordination:** 1-2 hours/week (even if hiring cleaners, you coordinate)
- **Maintenance issues:** 2-4 hours/week (plumbing, HVAC, repairs)

- **Supply restocking:** 1 hour/week (toiletries, linens, coffee, etc.)
- **Listing optimization:** 2 hours/week (photos, pricing, reviews)
- **Total required:** 8-12 hours/week minimum

Your current availability (<2 hours/week) is 75-85% below minimum requirement. With demanding investment banking career, this isn't viable.

Current Optimal Strategy: Long/Medium-Term Rental

Why This Works Better

- **Minimal time requirement:** 2-4 hours/month for tenant management
- **Stable cash flow:** Predictable monthly income vs variable STR income
- **Lower stress:** One tenant vs dozens of guests monthly
- **Easier management:** Less turnover, fewer issues
- **Credit score compatible:** Doesn't require perfect credit to maintain

Tax Benefits Available

Even without STR status, long-term rental provides:

- **Depreciation deduction:** \$10,000-15,000/year (27.5-year schedule)
- **Interest deduction:** Mortgage interest fully deductible
- **Operating expenses:** Property taxes, insurance, repairs, management fees
- **S-Corp salary:** Reasonable compensation for management services

Future STR Strategy (When Viable)

Scenario 1: Career Transition

If you reduce to part-time W-2 or transition to business ownership:

- Time availability increases to 10+ hours/week
- Can self-manage STR and meet material participation
- Tax benefit: \$10,125 - \$27,000/year unlocked
- Implement immediately when schedule allows

Scenario 2: Spouse/Partner Participation

If future spouse/partner has time available:

- They can be primary manager, meeting material participation
- Joint tax return allows losses to offset your W-2 income
- Popular strategy for couples with one high-W-2 earner

Scenario 3: REP + STR Combo

If you achieve Real Estate Professional status (750+ hours/year in real estate):

- All rental losses become non-passive automatically
- Can offset W-2 income without material participation requirement
- Requires major career shift (not viable currently)
- Value if achieved: \$16,875 - \$67,500/year

Alternative Path: 1031 Exchange

When to Consider

Once debt-free and credit score improves to 680+:

- Sell Charlotte property via 1031 exchange
- Defer all capital gains taxes (potentially \$50,000+ savings)
- Purchase larger property with better cash flow in different market
- Or: Purchase multiple smaller properties for diversification

1031 Exchange Basics

- **Like-kind requirement:** Exchange investment property for investment property
- **45-day identification:** Must identify replacement property within 45 days of sale
- **180-day close:** Must close on replacement within 180 days
- **Qualified intermediary:** Cannot touch proceeds yourself (use QI service)
- **Equal or greater value:** Replacement must be equal/greater value to defer all taxes

Cost Segregation Study: Deferred

Cost segregation accelerates depreciation by reclassifying building components. Typical value: \$10,125-\$33,750 first-year deduction. However, deferring because:

- **Study cost:** \$3,000-\$8,000 (eats into near-term benefit)
- **Limited near-term value:** Property was personal residence before rental conversion
- **Rental income offset:** Already using standard depreciation to offset rental income
- **Better timing:** Implement when purchasing next property via 1031 exchange

Revisit cost segregation when:

- You purchase second investment property
- You achieve REP status (makes accelerated depreciation more valuable)
- You have passive income to offset (currently don't)

8. Business Credit Strategy

12-Month Credit Rebuilding Roadmap

Establishing business credit separate from personal credit is critical for future real estate acquisitions and business financing. With personal credit below 640, business credit provides an alternative financing path. Target: PAYDEX 80+ score and \$10-25K business line of credit within 12 months.

Current Situation Assessment

Factor	Status	Impact
Personal Credit Score	<640	Blocks traditional financing, increases interest rates
Business Credit	None established	No D&B file, no PAYDEX score, no trade lines
Debt Settlement	Active program	Negative marks on personal credit

Factor	Status	Impact
Business Entity	S-Corp LLC established	✅ Foundation exists for business credit

Phase 1: Foundation (Months 1-3)

Establish Business Identity

- ☐ Register for EIN (already have from S-Corp formation)
- ☐ Get business phone number (Google Voice or dedicated line)
- ☐ Set up business address (can use home office or registered agent)
- ☐ Create Dun & Bradstreet DUNS number (free, 30-day process)
- ☐ Register business with major directories (Google, Yelp, Facebook)
- ☐ Open business bank account separate from personal (already may have)

First Business Credit Card

Secured Business Credit Card Strategy:

- **Target:** Cards that don't require personal guarantee or credit check
- **Options:** Brex (startup card), Ramp (expense management), or secured card from your business bank
- **Deposit:** \$500-1,000 security deposit
- **Usage:** Small recurring charges (\$100-300/month), pay in full immediately
- **Reporting:** Verify card reports to Dun & Bradstreet

Net-30 Vendor Accounts

Establish 3-5 trade lines with vendors that report to D&B:

- **Uline:** Business supplies, reports to D&B
- **Grainger:** Industrial supplies, reports to D&B
- **Quill:** Office supplies, reports to D&B
- **Crown Office Supplies:** Easy approval, reports to D&B
- **Strategy:** Make small purchase (\$100-200), pay within 15 days for maximum PAYDEX boost

Phase 2: Building (Months 4-6)

Second Business Credit Card

With 90+ days of payment history:

- Apply for unsecured business card (American Express Blue Business, Chase Ink)
- Use business credit profile, not personal credit
- If denied, continue with secured card for another 90 days

Increase Trade Lines

- Add 2-3 more Net-30 accounts
- Increase credit limits on existing accounts
- Maintain perfect payment record (pay 15 days early when possible)

Monitor Progress

- Sign up for D&B CreditBuilder (paid service, ~\$100/month)
- Monitor PAYDEX score monthly (target: reach 70+ by Month 6)
- Dispute any incorrect information on business credit report

Phase 3: Expansion (Months 7-12)

Business Line of Credit

With 6+ months of history and PAYDEX 70+:

- **Target institutions:** BlueVine, Fundbox, Kabbage, OnDeck
- **Expected terms:** \$10,000-\$25,000 line of credit
- **Interest rates:** 12-25% (higher due to limited history)

- **Use case:** Real estate down payments, property improvements, cash flow smoothing

Personal Credit Separation

By Month 12, complete separation:

- All business expenses on business cards only
- No personal guarantees on new business credit
- Business financing independent of personal credit score
- Personal credit recovering naturally as time passes from settlement program

Personal Credit Recovery Timeline

Timeframe	Action	Expected Score
Month 1	Exit settlement program	<640
Months 1-6	On-time payments, low utilization	640-660
Months 7-12	Continued positive history	660-680
Months 13-24	Negative marks age off	680-720
Months 24-36	Strong credit profile	720-750+

Business Credit Score Targets

PAYDEX Score	Meaning	Your Target
0-49	High Payment Delay	Avoid
50-79	Moderate Payment History	Month 3-6 target
80-100	Excellent Payment History	Month 12 target

How PAYDEX Score Works

- **100:** Pay 30+ days early

- **90:** Pay 20-29 days early
- **80:** Pay within terms (Net 30 = pay within 30 days)
- **70:** Pay 1-15 days late
- **Below 70:** Late payments, damage to score

Key Insight: Paying EARLY (not just on-time) dramatically increases PAYDEX. Always pay Net-30 accounts within 15 days for maximum score benefit.

9. 30-Day Action Checklist

Week 1: Immediate Actions

- ☐ **W-4 Optimization:** Access IRS Tax Withholding Estimator, input data, calculate optimal withholding, submit new W-4 to HR
- ☐ **401(k) Increase:** Log into 401k provider portal, calculate percentage needed for \$1,958/month (\$23,500/year), update contribution, verify confirmation
- ☐ **HSA Verification:** Check current contribution rate, calculate amount needed for \$358/month (\$4,300/year max), update if needed
- ☐ **Schedule CPA Meeting:** Email/call CPA, request meeting for S-Corp salary review and 2025 tax planning, target meeting date within 2 weeks

Week 2: Foundation Building

- ☐ **Open Backdoor Roth Accounts:** Choose provider (Vanguard, Fidelity, or Schwab), open Traditional IRA, open Roth IRA, verify both accounts active

- **Debt Settlement Contact:** Email settlement program with bonus timeline, confirm payoff amount, request payoff letter/instructions, schedule payoff for bonus receipt date
- **Home Office Review:** Take measurements of office space, take dated photos, gather home expense receipts, calculate business use percentage, review with CPA at scheduled meeting
- **Business Credit Start:** Register for Dun & Bradstreet DUNS number (free online), update business listings (Google, Yelp), research secured business credit card options

Week 3: Systems Activation

- **Emergency Fund Assessment:** Calculate 3-4 months expenses target, determine gap from current 1-2 months, plan to close gap with bonus (\$3K) + redirected settlement payments
- **CPA Meeting Execution:** Attend meeting, discuss S-Corp salary optimization, review 2024 tax return for optimization opportunities, confirm 2025 quarterly estimated payment schedule
- **Banking Setup:** Verify business bank account separate from personal, confirm all business expenses going through business account, set up accounting system if needed (QuickBooks, Wave)
- **Vehicle Research Begin:** Research qualifying vehicles (>6,000 lbs GVWR), compare pricing, calculate business use percentage, bookmark options for Q4 purchase

Week 4: Bonus Deployment (Assuming December Bonus)

- ☐ **Receive Bonus:** Verify \$30K gross bonus, confirm withholding (should be ~\$8-10K), deposit net amount (~\$20K)
- ☐ **Execute Debt Payoff:** Pay \$15,000 to settlement program, obtain payoff confirmation letter, request removal from settlement program, confirm negative marks won't worsen
- ☐ **Fund Emergency Fund:** Transfer \$3,000 to high-yield savings account (separate from checking), target balance: \$8-10K total (combined with existing funds)
- ☐ **Backdoor Roth Contribution:** Transfer \$2,000 to Traditional IRA, wait 1-2 days for settlement, convert entire balance to Roth IRA, keep records for Form 8606
- ☐ **Celebrate Foundation:** Debt eliminated, emergency fund established, Roth started. You've unlocked Phase 2.

Month 2: Phase 2 Launch (January 2025)

- ☐ Continue maxing 401k and HSA contributions
- ☐ Apply for first secured business credit card
- ☐ Open 2-3 Net-30 vendor accounts (Uline, Grainger, Quill)
- ☐ Monitor first post-settlement credit report
- ☐ Set up Bitcoin DCA with \$200-300/month (if cash flow allows)

Month 3: Momentum Building (February 2025)

- ☐ Complete Backdoor Roth contribution (\$5,000 remaining)
- ☐ First Net-30 vendor payment (pay 15 days early for PAYDEX boost)
- ☐ Apply for second business credit card
- ☐ Review Q1 cash flow, adjust as needed
- ☐ Check credit score improvement (target: 640 → 650+)

Months 4-6: System Refinement

- ☐ All tax-advantaged accounts on autopilot (\$2,899/month total)
- ☐ Business credit building consistently (3-5 trade lines established)
- ☐ Increase Bitcoin DCA as cash flow allows
- ☐ Monitor PAYDEX score monthly (target: 70+ by Month 6)
- ☐ Begin serious vehicle research for Q4 purchase

Months 7-12: Full Phase 2 Deployment

- ☐ Debt-free operations, maximum cash flow
- ☐ \$2,899/month tax-advantaged contributions automated

- ☐ Bitcoin DCA increased to \$500-1,000/month
- ☐ Credit score improving monthly (target: 680+ by Year 2)
- ☐ PAYDEX score 80+ achieved
- ☐ Apply for \$10-25K business line of credit
- ☐ Execute vehicle purchase in Q4 (Oct-Dec) for Section 179

10. CPA Discussion Topics

Schedule Q1 2025 Meeting

Your CPA is described as "proactive about tax strategy," which is excellent. This meeting agenda ensures you extract maximum value from their expertise while implementing the strategies in this plan.

Meeting Preparation

- **Send in advance:** This wealth plan (or summary of strategies you want to implement)
- **Bring:** 2024 tax return, pay stubs, S-Corp financial statements, rental property income/expense records
- **Schedule:** 90-minute meeting (not rushed 30-minute session)
- **Objective:** Implement 7 strategies for \$13,499-\$20,722 tax savings

Priority Topic 1: S-Corp Salary Optimization

Questions for CPA

- Based on \$25K rental income, what's reasonable compensation for my management activities?

- What documentation do I need to support the salary level we choose?
- Should we adjust 2025 salary from current level?
- How do we balance FICA savings vs audit exposure?

Strategy Discussion

- Review actual hours spent on rental property management in 2024
- Discuss comparable salaries for property managers in Charlotte market
- Calculate FICA savings from optimized split (W-2 vs distributions)
- Document reasoning in corporate minutes

Expected Outcome

- Agreed-upon reasonable salary for 2025
- Updated payroll processing (if salary changes)
- Documentation of analysis for corporate records
- \$2,025-\$4,050 annual FICA savings identified

Priority Topic 2: Vehicle Section 179 Strategy

Questions for CPA

- Should vehicle be purchased personally or by S-Corp?
- What business use percentage do you recommend I target?
- Is heavy vehicle (>6,000 lbs) worth the additional cost for 100% expensing?
- Lease vs purchase: which provides better tax benefit?
- Can I apply Section 179 to a used vehicle?

Strategy Discussion

- Calculate ROI on different vehicle options (luxury SUV vs standard)
- Discuss business use documentation requirements (mileage log)
- Review purchase timing for 2025 deduction (must buy by Dec 31)
- Bonus depreciation coordination (100% immediate expensing)

Expected Outcome

- Vehicle purchase recommendation (personal vs S-Corp ownership)
- Target business use percentage (80%+ recommended)
- Specific vehicle weight class recommendation
- Purchase timeline confirmed (Q4 2025)
- Expected tax savings: \$6,750-\$10,125

Priority Topic 3: Home Office Deduction Optimization

Questions for CPA

- Since I have S-Corp, should home office be deducted via Accountable Plan?
- Simplified method (\$1,500 max) vs Regular method (actual expenses)?
- What documentation do you need to support the deduction?
- Can "dedicated area" in room qualify even if room isn't exclusively office?

Strategy Discussion

- Review current home office deduction method
- Calculate both methods, choose higher value
- Discuss S-Corp reimbursement structure (Accountable Plan)
- Review documentation standards for your records

Expected Outcome

- Confirmed method (simplified vs regular)
- If regular method: calculation of business use percentage and deductible expenses
- If S-Corp reimbursement: Accountable Plan documentation
- Expected tax savings: \$1,012-\$1,350

Priority Topic 4: 2025 Tax Planning

Quarterly Estimated Payments

- With new W-4 optimization, do I still need quarterly estimated payments?
- If yes, what amount should I pay quarterly for S-Corp income?
- What are the safe harbor rules to avoid underpayment penalties?
- Can W-4 optimization cover both W-2 and S-Corp taxes?

Maryland State Tax Optimization

- Any Maryland-specific deductions or credits I should know about?
- Does S-Corp with NC property create multi-state filing requirements?
- How to optimize state tax burden with property in NC?

Bonus Tax Withholding

- \$30K bonus: what withholding rate should I expect?
- Can I adjust W-4 before bonus to optimize withholding?
- Will bonus push me into higher tax bracket (24% → 32%)?
- Strategy to minimize tax hit from bonus

Expected Outcome

- Quarterly estimated payment schedule (if required)
- Confirmed safe harbor amounts to avoid penalties
- Bonus withholding strategy
- Multi-state filing clarification

Priority Topic 5: Future Strategy Discussion

Real Estate Expansion

- If I want to buy second rental property in 2-3 years, what structure do you recommend?
- Same S-Corp vs separate LLC?
- When does cost segregation study make sense?
- 1031 exchange: how far in advance do we need to plan?

Credit Score Impact on Taxes

- Will debt settlement program impact my ability to claim certain deductions?
- Does credit score matter for tax strategies?
- Any reporting requirements for debt forgiveness/settlement?

Bitcoin Tax Treatment

- If I'm doing monthly Bitcoin DCA, do I need to track cost basis for each purchase?
- Any reporting requirements for holding Bitcoin?
- If I sell Bitcoin in future, how is gain calculated?
- Should Bitcoin be held personally or in S-Corp?

Follow-Up Actions

- ☐ CPA provides written summary of recommendations
- ☐ Salary adjustment documents prepared (if needed)
- ☐ Accountable Plan created (if using for home office)
- ☐ Quarterly estimated payment vouchers generated
- ☐ Schedule mid-year check-in (June/July) to verify on track

11. Future Strategies (Years 2-3+)

Additional \$25,000+ Annual Tax Savings Available

Once debt-free, credit improved, and time availability increases, these additional strategies unlock significant additional value. Revisit this section annually to assess viability.

When Time Available Increases (5+ Hours/Week)

Short-Term Rental Strategy

Value: \$10,125 - \$27,000 annually

Requirements Met:

- 5-10 hours/week available for management
- Can meet material participation standard (>100 hours, more than any other person)
- Willing to self-manage or use co-management approach

Implementation:

- Convert Charlotte property from long-term to short-term rental
- Furnish property for STR use (\$5,000-\$15,000 investment)
- Set up Airbnb/VRBO listings with professional photos
- Implement management systems (cleaning, supplies, guest communication)
- Track all hours meticulously for material participation documentation

Financial Impact:

- STR income: \$40,000-\$80,000/year (vs \$20,000-\$30,000 LTR)
- STR expenses: \$25,000-\$50,000/year (higher than LTR)
- Net income increase: \$5,000-\$20,000
- Tax savings from losses: \$10,125-\$27,000 (if generating tax loss and meeting material participation)

Real Estate Professional Status (REP)

Value: \$16,875 - \$67,500 annually

Requirements:

- Spend >750 hours/year in real property trades/businesses
- More than 50% of personal services in real property trades

- Material participation in each rental activity

When Viable:

- Career transition to real estate focus (leave W-2 banking role)
- Or spouse/partner qualifies and files joint return
- Or semi-retirement allows 15+ hours/week real estate work

Impact: All rental losses become non-passive, can offset W-2 income without material participation requirement. Unlocks massive tax savings if you have multiple properties generating paper losses (depreciation).

When Credit Score Improves to 680+

Second Rental Property Acquisition

Timeline: Years 2-3 (once credit 680+, debt-free, saved \$30-50K down payment)

Financing Available:

- Conventional investment property loan (15-25% down payment)
- DSCR loans (debt service coverage ratio, no income verification)
- Business line of credit for down payment (if established)

Strategy Options:

- **Option A:** Keep Charlotte property, buy second property (diversification)
- **Option B:** 1031 exchange Charlotte property into larger/better property (defer taxes)
- **Option C:** Buy multiple smaller properties (spread portfolio)

Cost Segregation Study:

- Implement on second property purchase
- Accelerate depreciation, generate \$50,000-\$150,000 first-year deduction
- Tax savings: \$14,875 - \$44,625 at 29.75% rate

When S-Corp Profits Increase

Solo 401(k) for Side Business

Value: \$7,000 - \$23,000 annually

If Side Business Profits Grow:

- Current: ~\$25K rental income from S-Corp
- Future: If you start additional side business or rental income grows
- Solo 401k allows \$69,000 total contribution limit (\$23,500 employee + 25% employer)

Example:

- S-Corp net income grows to \$100,000/year
- W-2 salary: \$50,000 (reasonable compensation)
- Employee contribution: \$23,500
- Employer contribution: \$12,500 (25% × \$50K)
- Total Solo 401k: \$36,000/year
- Tax savings: \$10,710 at 29.75% rate

QBI Deduction Optimization

Value: \$4,800 - \$9,600 annually

Qualified Business Income deduction allows 20% deduction on pass-through income. With S-Corp, optimizing W-2 salary vs distributions affects QBI deduction amount. As income grows, work with CPA to maximize this deduction.

When Net Worth Exceeds \$500K

Advanced Estate Planning Strategies

- **Donor-Advised Fund:** If charitable, bunching donations in high-income years
- **Opportunity Zone Investment:** Defer capital gains from Bitcoin/real estate sales
- **Conservation Easement:** If you own land (high complexity, requires expert guidance)

Strategy Addition Timing Matrix

Strategy	Prerequisite	Earliest Timeline	Annual Value
Short-Term Rental	5+ hrs/week available	Year 2-3	\$10,125 - \$27,000

Strategy	Prerequisite	Earliest Timeline	Annual Value
Cost Segregation	Buy 2nd property	Year 2-3	\$14,875 - \$44,625
Solo 401(k) Max	S-Corp profits >\$60K	Year 3-4	\$7,000 - \$23,000
Second Property	680+ credit, 20% down	Year 2-3	\$15,000 - \$27,000
REP Status	750+ hours available	Year 5+ or career change	\$16,875 - \$67,500

3-Year Projection

Year	Strategy Focus	Tax Savings	Wealth Building
Year 1	Foundation + 7 core strategies	\$13,499 - \$20,722	\$34,800 retirement + debt elimination
Year 2	Phase 3 investing + credit rebuilt	\$13,499 - \$20,722	\$63,600 invested (60% BTC/40% tax-advantaged)
Year 3	Add STR or 2nd property	\$25,000 - \$50,000+	\$63,600 invested + real estate expansion

12. Success Metrics & Progress Tracking

6-Month Goals (By July 2025)

- ☐ ☒ Debt completely eliminated using December bonus
- ☐ ☒ Emergency fund at 3-4 months expenses (\$8-10K)
- ☐ ☒ 401(k) increased to \$23,500/year contribution

- ☐ ☒ HSA maxed at \$4,300/year
- ☐ ☒ Backdoor Roth IRA completed (\$7,000)
- ☐ ☒ W-4 optimized for \$4,500 cash flow improvement
- ☐ ☒ S-Corp salary reviewed and optimized with CPA
- ☐ ☒ Home office deduction documented properly
- ☐ ☒ DUNS number obtained, 3-5 business trade lines established
- ☐ ☒ Credit score improving trend (640 → 660 target)

12-Month Goals (By January 2026)

- ☐ ☒ Total tax savings achieved: \$13,499 - \$20,722
- ☐ ☒ Cash flow improvement realized: \$4,500
- ☐ ☒ Retirement contributions: \$34,800 for year
- ☐ ☒ Business credit established: PAYDEX 80+ score
- ☐ ☒ Business line of credit: \$10-25K approved
- ☐ ☒ Vehicle purchased with Section 179: \$6,750-\$10,125 deduction
- ☐ ☒ Credit score recovered: 680+ target
- ☐ ☒ Bitcoin DCA system automated

- ☐ ☒ All 7 tax strategies fully implemented

24-Month Goals (By January 2027)

- ☐ ☒ Net worth: \$150,000+ (debt-free + investments)
- ☐ ☒ Bitcoin holdings: \$50,000+ accumulated
- ☐ ☒ Tax-advantaged accounts: \$75,000+ balance
- ☐ ☒ Credit score: 700+ achieved
- ☐ ☒ Annual investing: \$63,600/year sustainable
- ☐ ☒ Rental property: Evaluated for STR conversion or 1031 exchange
- ☐ ☒ Second property: Evaluated and potentially acquired
- ☐ ☒ Business credit: Established lines, no personal guarantees

5-Year Goal (Age 37 - January 2030)

\$1M Net Worth Target

Pathway Components:

- **Bitcoin (60% allocation):** \$144,000 invested over 4 years at 25% CAGR = \$224,000
- **Tax-Advantaged (40%):** \$174,000 invested over 5 years at 10% CAGR = \$214,000

- **Real Estate Equity:** Charlotte property + potential second property = \$200,000-\$300,000
- **S-Corp Business Value:** \$50,000-\$100,000
- **Cash/Emergency Fund:** \$50,000

Projected Total: \$738,000 - \$888,000 (conservative) to \$1,000,000+ (aggressive)

Monthly Progress Dashboard

Metric	Target	How to Track
Tax-Advantaged Contributions	\$2,899/month	Check 401k statement, HSA balance, IRA contributions
Bitcoin DCA	\$2,400/month (Phase 3)	Exchange transaction history
Emergency Fund	\$8-10K balance	High-yield savings account
Credit Score	+10 points/quarter	Credit Karma, Experian app, bank credit score feature
Business Credit	PAYDEX increase	D&B CreditBuilder dashboard (if subscribed)
Net Worth	+\$5K+/-month	Personal Capital, Mint, or spreadsheet tracking

Quarterly Review Checklist

- ☐ Review all account balances (retirement, emergency fund, Bitcoin, rental income)
- ☐ Verify on track for annual contribution limits
- ☐ Check credit score improvement

- ☐ Review business credit progress (trade lines, PAYDEX score)
- ☐ Calculate current net worth
- ☐ Assess progress toward \$1M goal (on track vs behind vs ahead)
- ☐ Identify any strategy adjustments needed
- ☐ Schedule CPA meeting if significant changes

Annual Wealth Plan Review

Schedule: Every January

- Review previous year's tax return for optimization opportunities
- Update this wealth plan for new tax laws and contribution limits
- Assess whether to add new strategies (STR, cost segregation, etc.)
- Recalculate projections based on actual performance
- Adjust investment allocations if needed
- Meet with CPA for tax planning session
- Set specific goals for upcoming year

13. Resources & Tools

Financial Tracking

- **Personal Capital:** Free net worth tracking, investment analysis, retirement planner
- **Mint:** Free budgeting, expense tracking, credit score monitoring
- **YNAB (You Need A Budget):** Paid budgeting app, excellent for cash flow management

Tax & Accounting

- **IRS Tax Withholding Estimator:** irs.gov/individuals/tax-withholding-estimator
- **Gusto:** Payroll service for S-Corp salary processing
- **QuickBooks Self-Employed:** Expense tracking, mileage log, quarterly tax estimates

Investment Platforms

- **401(k):** Your employer's plan
- **IRA Accounts:** Vanguard, Fidelity, or Charles Schwab (low-cost, excellent service)
- **Bitcoin DCA:** Strike (lowest fees), Swan Bitcoin (education focus), Cash App (convenience)
- **Bitcoin Self-Custody:** Ledger Nano X, Trezor Model T

Business Credit

- **Dun & Bradstreet:** dnb.com (free DUNS number, paid CreditBuilder service)
- **Net-30 Vendors:** [Uline.com](https://uline.com), [Grainger.com](https://grainger.com), [Quill.com](https://quill.com)
- **Business Credit Cards:** Brex, Ramp (no personal guarantee), Amex Blue Business, Chase Ink

Personal Credit Monitoring

- **Credit Karma:** Free credit scores, monitoring (TransUnion, Equifax)
- **Experian:** Free credit report and FICO score
- **AnnualCreditReport.com:** Free annual reports from all 3 bureaus

Real Estate

- **Property Management:** AppFolio, Buildium (when you expand to multiple properties)
- **STR Management:** Guesty, Hostaway (automate Airbnb/VRBO)
- **Cost Segregation:** Cost Segregation Services Inc., Madison SPECS

Education & Learning

- **Tax Strategy:** Mark J. Kohler books ("Tax-Wise Business Ownership", "The Business Owner's Guide to Financial Freedom")

- **Bitcoin:** "The Bitcoin Standard" by Saifedean Ammous, "The Bullish Case for Bitcoin" by Vijay Boyapati
- **Real Estate:** BiggerPockets.com (forums, podcasts, calculators)
- **S-Corp Salary:** IRS.gov reasonable compensation resources

Professional Services

- **Your CPA:** Primary tax planning partner (proactive, as noted)
- **Bookkeeper:** Currently working with one (maintain relationship)
- **1031 Exchange:** Qualified Intermediary when needed (IPX1031, Asset Preservation)
- **Estate Planning:** Consider attorney consultation when net worth >\$500K

14. Complete First-Year Financial Impact

Tax Savings

**\$13,499 -
\$20,722**

Cash Flow Improvement

+\$4,500

Debt Eliminated

\$20,000+

Retirement Contributions

\$34,800

Comprehensive Year-One Financial Summary

Category	Conservative	Aggressive	Timing
TAX SAVINGS (7 Strategies)			
401(k) Increase	\$3,375	\$4,725	Week 1
HSA Max	\$337	\$472	Week 1
S-Corp Optimization	\$2,025	\$4,050	Month 2
Vehicle Section 179	\$6,750	\$10,125	Q4 2025
Home Office	\$1,012	\$1,350	Ongoing
Tax Savings Subtotal	\$13,499	\$20,722	-
CASH FLOW IMPROVEMENTS			
W-4 Optimization	\$4,500	\$4,500	Week 1
Debt Payments Freed	\$6,000	\$12,000	Month 1
Cash Flow Subtotal	\$10,500	\$16,500	-
WEALTH BUILDING			
Debt Elimination	\$20,000	\$20,000	Month 1
Emergency Fund Built	\$3,000	\$3,000	Month 1
401(k) Contributions	\$23,500	\$23,500	Year-long
HSA Contributions	\$4,300	\$4,300	Year-long
Backdoor Roth IRA	\$7,000	\$7,000	Q1 2025
Wealth Building Subtotal	\$57,800	\$57,800	-
LONG-TERM VALUE CREATED			

Category	Conservative	Aggressive	Timing
Business Credit Established	\$25,000	\$25,000	Months 1-12
Credit Score Recovery	Value: Priceless	640 → 680+	Months 1-12
Tax System Optimized	Recurring annual	\$13K-\$21K/year	Permanent
TOTAL YEAR-ONE IMPACT	\$72,799	\$79,022	-

Your 5-Year Trajectory

Year 1: Eliminate debt, optimize taxes, build foundation

Year 2-5: Deploy \$63,600/year (60% Bitcoin, 40% tax-advantaged)

Years 3+: Add real estate strategies, scale to \$25K-\$50K annual tax savings

Target: \$1M Net Worth by Age 37

Next Steps

- 1. Review this complete plan thoroughly
- 2. Schedule CPA meeting for Q1 2025 (within 2 weeks)
- 3. Update W-4 and 401(k) contributions (Week 1)

4. Open Backdoor Roth IRA accounts (Week 2)
5. Prepare for bonus deployment (Week 4)
6. Execute 30-Day Action Checklist systematically
7. Set quarterly review reminders in calendar

You're not just building wealth—you're building financial freedom.